

25NNCV08141 25NNCV08141

County: los-angeles

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#10 - ADELA RENTERIA vs PREMIER IMPROVEMENT A PARTNERSHIP, et al.

CASE MANAGEMENT CONFERENCE

The Court sets the following dates:

Final Status Conference: Thursday, August 5, 2027 at 9:00 a.m. in Dept. X.

Bench Trial: Tuesday, August 17, 2027 at 9:00 a.m. in Dept. X.

No party has posted jury fees pursuant to Code of Civil Procedure section 631.

Additionally, the parties are ordered to complete mediation (private or one of the Court's mediation programs – MVP, MCLA, or Resolve LA <https://www.lacourt.org/ADR/programs.html>) by the following date:

Mediation Completion Date: July 1, 2027

The Court further orders the parties to comply with the Court's Trial Preparation Order, which may be found on the LASC website (<https://www.lacourt.ca.gov/home>), "Attorneys" section, under the "Courtroom Information" link for Department X (Alhambra Courthouse). Trial counsel are ordered to personally appear – in court – for the Final Status Conference with a copy of their lodged binders so that same can be reviewed in preparation for trial.

DEMURRERS

AND MOTIONS TO STRIKE

The Complaint alleges that on November 12, 2020, Plaintiff entered into a home-improvement contract with Premier Improvement A Partnership and Gustavo Arias for work at Plaintiff's property, 405 Myrtle Street, Glendale, California; that over approximately two years the contractor defendants extracted more than \$400,000, issued fraudulent change orders, and

abandoned the project in late 2022, and left Plaintiff with additional completion costs and lost rental income. (Compl., ¶¶ 8, 12-15, 19-31.) The Complaint also alleges that the CSLB issued Citation No. 2-2023-1384 against Premier for violations of Business and Professions Code sections 7117(a), 7159, and 7159.5. (Compl., ¶¶ 33-34.)

The Complaint further alleges that Plaintiff made a claim on SureTec's contractor bond, that SureTec denied the claim, and that SureTec provided incorrect information regarding the legal requirements for recovery. (Compl., ¶¶ 37-45.)

Defendants Premier Improvement A Partnership and Gustavo Arias's filed a Demurrer to the Complaint and a motion to strike portions of the Complaint. Defendants demur to all ten causes of action and move to strike specified damages allegations, remedies, and argumentative phrases.

Separately, Defendant SureTec demurs to the second through tenth causes of action, and moves to strike allegations and prayer language.

Premier Improvement's Demurrer

First Cause of Action — Breach of Contract

The Complaint alleges a valid construction contract, the basic subject matter of the agreement, the completion timeline, plaintiff's performance, specific categories of breach, and resulting damages. Liberally construed, those allegations give fair notice of a contract claim. The Demurrer to the first cause of action is overruled.

Second Cause of Action — Financial Elder Abuse

The Complaint alleges plaintiff was an individual over 65, that defendants wrongfully took her property with intent to defraud, that they used false urgency and phantom change orders, and that the financial abuse caused substantial monetary loss. (Compl., ¶¶ 1, 21, 23, 61, 67.) At the pleading stage, those allegations are sufficient. The Demurrer to the second cause of action is overruled.

Third Cause of Action — Breach of Implied Covenant of

Good Faith and Fair Dealing

The Complaint alleges an underlying contract and alleges that Defendants deprived Plaintiff of the benefits of that agreement by abandoning the project while retaining payments, demanding additional payments, and failing to communicate honestly about project status and completion. (Compl., ¶ 72.) The Court finds these allegations sufficient. The Demurrer to the third cause of action is overruled.

Fourth Cause of Action — Violations of Business and Professions Code Sections 7159, 7159.5, and 7117

The Complaint alleges violations of sections 7159, 7159.5, and 7117 and alleges that those violations entitle Plaintiff to damages, restitution, and attorney's fees under "applicable statutory provisions." The opposition argues that Business and Professions Code section 7160 supplies a private damages and fee remedy and states that, if necessary, she can amend to invoke that statute expressly. Based on the latter, Plaintiff appears to concede that the fourth cause of action is not clearly pleaded as a private statutory claim. Thus, the Demurrer to the fourth cause of action is sustained with leave to amend.

Fifth Cause of Action — Unfair Competition Law

The Complaint alleges that Premier violated Business and Professions Code sections 7159, 7159.5, and 7117; demanded and accepted down payments far exceeding the statutory limit; conducted business under the name "Premier Improvement" although the license was issued to "Premier Improvement A Partnership"; and that the CSLB issued Citation No. 2-2023-1384 imposing civil penalties for those violations. Those allegations are sufficient at the pleading stage to support the UCL's unlawful prong.

The Complaint also alleges that Premier targeted an elderly and vulnerable consumer, demanded excessive payments, created artificial urgency to obtain payment decisions, extracted maximum payments, and then abandoned the project. These allegations are adequately tethered to the contractor-protection statutes plaintiff invokes and are sufficient to plead the unfair prong.

The Complaint further alleges that defendants made false representations about their ability to complete the work within stated timeframes, created a phantom change order, misrepresented the necessity and reasonableness of payment demands, and concealed an intent to abandon the project while continuing to extract payments. For purposes of the UCL, those allegations identify the challenged practices with reasonable particularity. As to standing, the Complaint alleges that Plaintiff paid Defendants more than \$400,000, incurred \$150,000 to hire other contractors to complete the work, lost rental income of more than \$105,000, and seeks restitution and injunctive relief under the UCL. Those allegations sufficiently plead economic injury and causation. The Demurrer to the fifth cause of action is overruled.

Sixth Cause of Action — Fraud and Misrepresentation

The Complaint alleges broad categories of misrepresentations, including representations about timing, payment necessity, work progress, and a fraudulent change order. In opposition, Plaintiff states she can add further specificity as to particular fraudulent statements by Arias on identified dates. That concession shows the current fraud allegations are not yet pleaded with the needed particularity. The Demurrer to the sixth cause of action is sustained with leave to amend.

Seventh Cause of Action — Negligence

The Complaint alleges Defendants owed a duty to perform construction work in accordance with building codes, industry standards, and a good and workmanlike manner, and alleges resulting remediation and completion damages. (Compl., ¶¶ 98-100.)

The opposition asserts additional facts concerning independent statutory duties and damage to property other than the new construction and states Plaintiff can further clarify the claim. (Opp. (0809), p. 9.) As currently pleaded, the negligence claim is not clearly distinct from the contract-based claims. Thus, the Demurrer to the seventh cause of action is sustained with leave to amend.

Eighth Cause of Action — Money Had and Received

“A cause of action for money had and received is stated if

it is alleged the defendant 'is indebted to the plaintiff in a certain sum "for money had and received by the defendant for the use of the plaintiff."' [Citation.]" (Farmers Ins. Exchange v. Zerin (1997) 53 Cal.App.4th 445, 460.) A cause of action for money had and received "is viable wherever one person has received money which belongs to another, and which in equity and good conscience should be paid over to the latter." (Avidor v. Sutter's Place, Inc. (2013) 212 Cal.App.4th 1439, 1454 [internal quotations omitted].) "[T]he plaintiff must prove that the defendant received money intended to be used for the benefit of [the plaintiff], that the money was not used for the plaintiff's benefit, and that the defendant has not given the money to the plaintiff." (Ibid. [internal quotations omitted].)

The Complaint alleges Defendants received substantial money from Plaintiff under circumstances making retention inequitable and seeks restoration of those funds. (Compl., ¶¶ 102-104.) A common count is proper notwithstanding that it relates to an original transaction involving an express or implied contract. (Utility Audit Co. v. City of L.A. (2003) 112 Cal.App.4th 950, 958.) At the pleading stage, common count may be asserted in the alternative. The Demurrer to the eighth cause of action is overruled.

Ninth Cause of Action — Quantum Meruit / Unjust Enrichment

The ninth claim is not well-labeled to the extent it invokes "quantum meruit," because quantum meruit traditionally concerns compensation for services rendered. Quantum meruit refers to the well-established principle that the law implies a promise to pay for services performed under circumstances disclosing that they were not gratuitously rendered. (Miller v. Campbell, Warburton, Fitzsimmons, Smith, Mendel & Pastore (2008) 162 Cal.App.4th 1331, 1344.) Here, Plaintiff is not alleging that she rendered services to Premier; she alleges that Premier received her money and unjustly retained it after failing to provide corresponding value.

On the other hand, the elements for a claim of unjust enrichment are: (1) receipt of a benefit; and (2) unjust retention of the benefit at the expense of another. (Elder v. Pacific Bell Telephone Co. (2012) 205 Cal.App.4th 841, 857.) Courts have construed unjust enrichment claims as quasi-contract claims seeking

restitution. (Rutherford Holdings LLC

v. Plaza Del Rey (2014) 223 Cal.App.4th 221, 231.) The Complaint alleges that Plaintiff paid Defendants more than \$400,000, that Defendants failed to complete the contracted work, that Defendants abandoned the project in late 2022, and that Plaintiff was required to spend approximately \$150,000 to complete the work. Those allegations adequately plead that Premier received a benefit and that its retention of the benefit may be unjust.

At this stage, the Court will permit the alternative pleading. The Demurrer to the ninth cause of action is overruled to the extent the claim is construed as one for restitution/unjust enrichment pleaded in the alternative. The Court does not construe the claim as a true quantum meruit claim for services rendered by Plaintiff. Plaintiff may not obtain duplicative recovery for both breach of contract and restitution, but she may plead alternative theories at this stage.

Tenth Cause of Action — Bad Faith Claims Handling

The tenth cause of action is expressly directed to SureTec and alleges only SureTec's conduct in handling a contractor's bond claim. As pleaded, that cause of action is not asserted against Premier or Arias. The Demurrer by Premier and Arias to the tenth cause of action is overruled as moot.

Premier Improvement's Motion to Strike

The motion to strike is GRANTED in part.

Paragraph 68 of the Complaint demands "treble damages" under Welfare and Institutions Code section 15657.5. California's Elder Abuse laws authorize civil actions for elder abuse, including specifically for financial abuse, and permit enhanced remedies. (Wel. & Inst. Code § 15657.5 [permitting recovery of compensatory damages, attorneys' fees and costs, and punitive damages based on a finding of recklessness, oppression, fraud or malice]. These enhanced remedies incentivize private enforcement of the Elder Abuse statutes and demonstrate the importance the California Legislature placed on protecting this vulnerable population. As pleaded, the Complaint seeks treble damages under Welfare and Institutions Code section 15657.5, which is not identified as a treble-damages statute in the pleading.

Plaintiff's opposition clarifies that the intended statutory

basis is Civil Code section 3345. Civil

Code section 3345 may apply in actions brought for the benefit of senior citizens to redress unfair or deceptive acts or practices where the trier of fact is otherwise authorized by statute to impose a discretionary punitive or deterrent remedy. However, the statute does not itself create an independent entitlement to treble compensatory damages or treble UCL restitution. The treble-damages references as presently pleaded are unsupported. The motion to strike the phrase "including treble damages" from paragraph 68 and prayer paragraph 2 is granted with leave to amend.

Premier's motion also identifies paragraph 57 as seeking emotional-distress damages on the contract claim. *Erich v. Menezes* (1999) 21 Cal.4th 543, 557, as referenced in Defendants' motion to strike, held that emotional distress damages are generally not recoverable for an ordinary home-construction contract claim involving economic and property loss without physical injury or breach of an independent tort duty. Here, however, the Complaint also alleges intentional fraud, financial elder abuse, and related intentional misconduct. The California Supreme Court later clarified that *Erich* does not apply to bar recovery of tort damages in connection with intentional fraud and misrepresentation, even if the intentional acts of fraud were committed in the context of a contractual relationship. (*Robinson Helicopter v. Dana Corp* (2004) 34 Cal.4th 979, 989, 992-993.) "In each of these cases, the duty that gives rise to tort liability is either completely independent of the contract or arises from conduct which is both intentional and intended to harm." (*Id.*, at pp. 989-991.) Premier's request to strike the phrase wholesale is therefore overbroad. This ruling does not determine whether Plaintiff can ultimately recover emotional-distress damages, or on which causes of action; it holds only that the phrase should not be stricken at the pleading stage. The motion to strike the phrase "emotional distress" from paragraph 57 is denied.

Paragraph 66 alleges oppression, fraud, and malice, and the prayer seeks punitive damages on that basis. The Complaint alleges a nearly two-year pattern of excessive payment demands, a phantom change order, deliberate exploitation of an elderly plaintiff, and abandonment after receipt of substantial funds. At the pleading stage, those factual allegations are sufficient to allow the punitive-damages request to remain. The motion to strike punitive-damages allegations in paragraph 66 and prayer paragraph 3 is denied.

Paragraph 108 and prayer paragraph 5 seek disgorgement of “ill-gotten gains” under the UCL. Plaintiff’s claim for disgorgement of profits is improper. A UCL plaintiff can only obtain disgorgement of profits to the extent he gave the defendant the profits or has an ownership interest in them. (Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1134, 1149 [“The object of restitution is to restore the status quo by returning to the plaintiff funds in which he or she has an ownership interest.”].) A private UCL plaintiff may seek injunctive relief and restitution but not non-restitutionary disgorgement. (Id. at 1144-1145.) Because the present language is broader than necessary, the pleading should be narrowed to restitutionary relief if that is what Plaintiff intends. The motion to strike the phrase “disgorgement of ill-gotten gains” from paragraph 108 and the phrase “disgorgement of all ill-gotten gains” from prayer paragraph 5 is granted with leave to amend.

Paragraph 82 further seeks damages, restitution, and attorney’s fees under Business and Professions Code sections 7159, 7159.5, and 7117. Paragraph 82 alleges that the pleaded contractor-statute violations entitle plaintiff to damages, restitution, and attorney’s fees. The opposition relies on Business and Professions Code section 7160, the UCL, and the Elder Abuse Act as the sources of those remedies and requests leave to amend for greater specificity if needed. Because the current allegation does not clearly identify the statutory basis for the remedies sought, it should be clarified by amendment. The motion to strike paragraph 82 is granted with leave to amend.

SureTec’s Demurrer

SureTec argues that the claims asserted against it are barred by Business and Professions Code section 7071.11(c).

The Complaint expressly alleges that SureTec issued Contractor’s Bond No. 462248 for Premier Improvement A Partnership effective January 1, 2023, and that the bond was cancelled on July 7, 2023. (Compl., ¶ 4.) The Complaint also alleges that Premier’s contractor license expired on September 30, 2023. (Compl., ¶ 2.) The specific contractor misconduct identified in the Complaint includes a fraudulent change order in October 2022, excessive payment demands through December 2022, and

abandonment of the project in late 2022.

Business and Professions Code section 7071.11(c)(1) provides that an action against a contractor's bond must be brought "[w]ithin two years after the expiration of the license period during which the act or omission occurred." On the face of the Complaint, any act or omission occurring during the license period ending September 30, 2023 had to be sued upon no later than September 30, 2025. This action was filed on November 17, 2025.

The pleaded bond dates create an additional defect. As pleaded, SureTec's bond was not effective until January 1, 2023, but the Complaint's specific allegations of the contractor's fraudulent change order, excessive payment demands, and abandonment all occurred in 2022, before the bond took effect. Plaintiff's opposition emphasizes the relevant license period, but the Complaint presently identifies no discrete act or omission by Premier within SureTec's pleaded bond period that would support bond liability, as opposed to SureTec's later denial of the bond claim.

Business and Professions Code section 7071.5 makes the contractor's bond available for specified violations or fraud by the licensee. The Complaint's allegations that SureTec later denied the claim and gave incorrect legal information do not supply a timely covered act by the licensee within the bond period. The Demurrer is sustained in its entirety, and leave to amend as to Defendant SureTec is denied.

SureTec's Motion to Strike

Considering the Court's ruling on the Demurrer, Defendant SureTec's motion to strike is MOOT.

Tentative Ruling

SureTec's Demurrer is sustained without leave to amend. SureTec's motion to strike is denied as MOOT.

Premier Improvement's Demurrer is overruled as to the first, second, third, fifth, eighth, ninth, and tenth causes of action. The Demurrer is sustained with leave to amend as to the fourth, sixth, and seventh cause of action.

Premier Improvement's Motion to Strike is denied as to Paragraphs 57 and 66, and prayer paragraph 3. The motion is granted with leave to amend as to paragraphs 68, 82, and 108, as well as prayer paragraphs 2 and 5.

Plaintiffs shall file and serve any amended complaint within
20 days of service of notice of this order.

Moving Parties are to give notice on their respective motions. Defendant SureTec is to include notice of the CMC.